

Equity Group Plc: FY'21 Earnings Note

Equity Group FY'21 net earnings edged up by **99.37%** to **KES 40.07Bn** which was above our expectations of a **KES 25.67Bn** PAT, while the EPS also grew **98.09%** y/y to **KES 10.38.** The impressive growth in bottom-line was mainly driven by a 21.07% growth in operating income to **KES 113.39Bn** and a 78.05% y/y decline in Loan Loss provisioning to **KES 5.84Bn**. Customer deposits grew 29.45% y/y to **KES 958.98Bn** while the loan book increased 23.00% y/y to **KES 587.78Bn**, both were above our expectations. Loan book growth was driven by increased lending in Kenya, South Sudan and Tanzanian markets while deposits mobilization through digital channels was highest in Kenya, Uganda and DRC.

- **DRC Subsidiary-a shrewd acquisition:** Equity BCDC in DRC recorded an impressive 211.00% y/y surge in PAT to **KES 4.00Bn** driven by improving macro-economic conditions. BCDC continues to be the most profitable regional subsidiary and we believe that going forward, DRC will be a key driver of growth. The subsidiary's ROaE of 14.90% in FY'21 (versus 8.80% in FY'20) still remains below the group's average of 25.99%. Additionally, we remain concerned about the high cost to income ratio (72.60% in FY'21 vs Group's CIR of 49.09%) and we expect BCDC costs to remain elevated as it is still in the investment phase.

- **Interest Income betters digital-driven NFI growth:** Net Interest Income surged 24.77% y/y to **KES 68.81Bn** on the back of a 27.90% y/y rise in interest income to **KES 94.35Bn**. Allocation to government papers rose 81.27% while loans grew 23.00% as economic conditions continue to improve. Yield on assets and cost of funding declined leading to a margin squeeze with a Net interest margin (NIM) of 6.78% from 7.56% in FY'20. We expect the yield on loans to improve driven by the approval of the risk based model by CBK. Non Interest income, was in line with our expectations, having grown by 15.76% to **KES 44.58Bn** mainly driven by digital banking (97.00% transactions are outside the branch). Therefore, the revenue mix shifted to 61:39 for NI:NFI from 59:41 in FY'20.

- **Asset quality improves:** Gross NPL decreased 9.32% y/y to **KES 53.86Bn** following enhanced collections leading to the NPL Coverage increasing to 68.73%. NPL ratio improved to **8.62%** from **11.53%** in FY'20, which is below the current industry average of **13.10%.** We expect the bank's asset quality to continue improving as the sector recovers from the impact of the pandemic and the risk based model reducing loan pricing opacity.

- **Valuation:** Dividend payment of **KES 3.00**, was in line with our expectation, providing a dividend yield of 5.80%. We maintain our BUY recommendation with a conviction that the counter is currently undervalued with a PE of 4.99x below the market PE of 10.4x and P/TB of 1.18x. Our current target price presents a 18.20% upside and a total return inclusive of dividends at 24.00%.

22nd March 2022

Current price: KES 51.75

Target price: KES 61.17

Upside: 18.20%

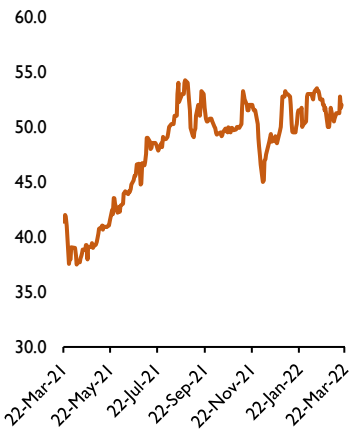
52 Week High: KES 54.25

52 Week Low: KES 37.50

EPS (FY'21): KES 10.38

DPS (FY'21): KES 3.00

Equity Group 1-year Share Price Movement



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Outlook

We observed a healthy balance sheet expansion driven by customer deposits and loan book growth. Net earnings were driven by revenue from lending and digital channels coupled with reduced loan impairment provisioning . We expect non-banking subsidiaries and the use of digital channels to drive Non interest Income. Approval of risk based model in Kenya and continued recovery in operating markets economies are expected to reduce lending risk and consequently the provisioning. The bank's lending will be supported by the focus on more SME credit and sector specific initiatives such as trade and infrastructure funding in subsidiary markets in Rwanda, Uganda and DR Congo.

Table 1 : Financial Statement Summary

Income Statement	FY18	FY19	FY20	Q1'21	H1'21	Q3'21	FY21
Net Interest Income	41.42.	44.98	55.15	14.82	31.15	48.48	68.81
Net Non-Interest Income	25.86	30.78	38.51	10.86	20.77	31.97	44.58
Total Operating Income	67.28	75.76	93.66	25.68	51.92	80.46	113.39
Provision for Impairment	(3.71)	(5.30)	(26.63	(1.27)	(2.91)	(5.14)	(5.84)
Total Operating expenses	(38.82)	(44.28)	(72.66)	(13.98)	(28.09)	(43.83)	(61.50)
Profit Before Tax	28.46	31.48	22.17	11.71	23.83	36.62	51.88
Profit After Tax	19.82	22.39	19.79	8.63	17.55	26.34	40.97
Core EPS	5.25	5.98	5.24	2.31	4.75	7.12	10.38
DPS	2.00	2.50	-	-	-	-	3.00

Balance Sheet	FY18	FY19	FY20	Q1'21	H1'21	Q3'21	FY21
Government Securities	130.44	138.57	1,757.00	182.96	202.58	233.19	394.10
Loans and Advances	297.23	366.44	477.85	487.74	504.85	559.01	587.78
Total Assets	573.38	673.68	1,015.09	1,066.44	1,119.74	1,184.27	1,304.91
Customer Deposits	422.76	482.75	740.80	789.94	819.68	875.11	958.98
Total Liabilities	478.43	561.91	876.45	926.00	964.66	1,020.93	1,128.72
Shareholder's Funds	573.38	673.68	1,015.09	1,066.44	1,119.74	1,184.27	1,304.91

Key Ratios	FY'2020	FY2021	y/y change
Yield from Assets	10.12%	9.30%	(0.82%)
Cost of Funding	2.70%	2.65%	(0.05%)
Net Interest Margin	7.56%	6.78%	(0.78%)
Non Performing Loans (NPL)	11.53%	8.62%	(2.91%)
Cost to Income Ratio	49.15%	49.09%	(0.06%)
Loan to Deposit Ratio	64.50%	61.29%	(3.21%)
Return on Average Equity	16.55%	25.99%	9.44%
Liquidity Ratio	59.30%	63.40%	4.10%
Core Capital/TRWA	14.80%	12.90%	(1.90%)
Total capital/TRWA	19.00%	17.70%	(1.30%)

Source: Company filings, AIB-AXYS



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